

◆ Should I encourage them to eventually take over my parents' coal mine?

◆ Is coal mining the best place for my children?

Most of the millionaire business owners we have interviewed would not encourage their children to take over such a business. This is especially true in cases in which the children are outstanding students. They would suggest that David and Christy, the young scholars, consider other avenues.

Most businesses today require some investment in land, equipment, and buildings. The Johnson Coal Mining business owns mountains that contain coal. It owns millions of dollars' worth of equipment. It employs many miners and must constantly upgrade the safety of its operation. It must conform to OSHA's mandates. It must deal with the uncontrollable price the market places on a ton of coal. It must constantly be vigilant about competitors who are trying to steal its customers. It must keep a careful watch on changes in America's energy policy. It also must keep its workers happy and safe. It must constantly deal with the possibility of a mine cave-in and halted production. Finally, the operation is in a fixed location. Mountains can't be moved to a warmer climate or closer to a more efficient railroad operation. What happens if there is a prolonged railroad strike?

Ask yourself these questions. If you do, you will soon realize you're in a precarious position. So what if you run a superior operation? The uncontrollable factors outlined above can kill your business. Given these considerations, that \$600,000 you earned last year seems smaller. How many \$600,000 years are in your future? What if the uncontrollable factors drive you bankrupt next year? Can you use your skills to teach coal mining at the technical university? Probably not. Your skills are more hands-on, not intellectual.

We once asked an affluent business owner who had fled Europe because of the Holocaust why all his adult children were self-employed professionals. His response:

They can take your business, but they can't take your intellect!